NATIONAL COMPANY LAW TRIBUNAL
GUWAHATI BENCH
GUWAHATI

ORDER SHEET OF THE HEARING ON 26th OCTOBER, 2023, 12:00 P.M.

CA(CAA)/1/GB/2023

Present: 1. Hon'ble Member (Judicial), Shri H.V. Subba Rao
2. Hon'ble Member (Technical), Shri Satya Ranjan Prasad

Name of the Company	DNB Finance and Investment Consultants Pvt. Ltd. 2. Jyoti Holdings Pvt. Ltd. 3.Karishma Suppliers Pvt. Ltd.(Transferor Companies) and CR Vanijya Pvt. Ltd. (Transferee Company)
Under Section	U/s 230-232 of Companies Act, 2013

For Petitioner (s) : Mr. N. Gurumurthy, FCA

For Respondent (s) :

ORDER

Order Pronounced through VC *vide* separate sheets.

Sd/-
Satya Ranjan Prasad
Member (Technical)

Sd/-
H.V. Subba Rao
Member (Judicial)

NATIONAL COMPANY LAW TRIBUNAL
GUWAHATI BENCH
GUWAHATI

C.A. (CAA) No.01/GB/2023

In the matter of:

An application under Sections 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013;

-And-

In the matter of:

The Companies (Compromises, Arrangements and Amalgamations) Rules, 2016;

-And-

In the matter of:

DNB Finance and Investment Consultants Private Limited, a company incorporated under the Companies Act, 1956 and being a Company within the meaning of the Companies Act, 2013 having Corporate Identification No. U67120AS1997PTC005098 and having its registered office at Centre Point, 3rd Floor, Opposite Bora Service, G.S. Road, Guwahati, Assam- 781007, within the aforesaid jurisdiction;

….. Transferor Company 1

-And-

Jyoti Holdings Private Limited, a company incorporated under the Companies Act, 1956 and being a Company within the meaning of the Companies Act, 2013 having Corporate Identification No. U70109AS1997PTC005099 and its registered office at Centre Point, 3rd Floor, Opposite Bora Service, G.S. Road, Guwahati, Assam- 781007, within the aforesaid jurisdiction; **….. Transferor Company 2**

-And-

Karishma Suppliers Private Limited, a company incorporated under the Companies Act, 1956 and being a Company within the meaning of the Companies Act, 2013 having Corporate Identification No. U51109AS2007PTC018183 and its registered office at 2C, 2nd Floor, Itag Plaza, Tarun Nagar, G.S. Road, Kamrup, Guwahati, Assam- 781005 within the aforesaid jurisdiction; **….. Transferor Company 3**

-And-

CR Vanijya Private Limited, a company incorporated under the Companies Act, 1956 and being a Company within the meaning of the Companies Act, 2013 having Corporate Identification No. U51909AS2007PTC021479 and its registered office at Centre Point, 3rd Floor, Opposite Bora Service, G.S. Road, Guwahati, Assam- 781007, within the aforesaid jurisdiction; **…. Transferee Company**

-And-

In the matter of:

1. DNB FINANCE AND INVESTMENT CONSULTANTS PRIVATE LIMITED
2. JYOTI HOLDINGSPRIVATE LIMITED
3. KARISHMA SUPPLIERS PRIVATE LIMITED
4. CR VANIJYA PRIVATE LIMITED

…. Applicants

Coram:

Shri H. V. Subba Rao	:	Member (Judicial)
Shri Satya Ranjan Prasad	:	Member (Technical)

Appearances (through video conferencing):

For Petitioner	:	Mr. N.Gurumurthy, (FCA)
ROC, NER	:	Mr. D. N. Choudhury

Order reserved on: 03.10.2023

Order pronounced on: 26.10.2023

ORDER

1. This is an Application under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 filed by the Applicant Nos. 1 to 4, namely, (1) DNB FINANCE AND INVESTMENT CONSULTANTS PRIVATE LIMITED, (2) JYOTI HOLDINGS PRIVATE LIMITED, (3) KARISHMA SUPPLIERS PRIVATE LIMITED (collectively called the "Transferor Companies") and (4) CR VANIJYA PRIVATE LIMITED ("Transferee Company") and their respective shareholders in connection

with a proposed Scheme of Amalgamation whereby and where under it is proposed to amalgamate the three Transferor Companies with the Transferee Company from the Appointed Date. i.e. **1st April, 2022** in the manner and on the terms and conditions stated in the said Scheme of Amalgamation ("Scheme").

2. The object of this Application is to ultimately obtain sanction of this Tribunal to the proposed Scheme of Amalgamation to be made between the Transferor Companies, Transferee company and their respective shareholders whereby and where under the entire undertaking of the Transferor Company with all assets and liabilities relating thereto as a going concern is proposed to be transferred to and vested in the Transferee Company with transfer date/appointed date being 1st April, 2022.

3. It is stated in the Application that the Transferee Company, is a Non-Banking Finance Company (NBFC) duly registered with Reserve Bank of India and engaged in investing and finance activities. On the other hand, the Transferor Companies apart from investing in properties have also made investment in marketable securities and thus, the business of the Transferor Companies and the Transferee Company can be combined/adjusted and carried forward conveniently with combined strength. Further, the Applicants are closely held family-owned companies with inter-se promoter between themselves. The amalgamation will also enable the Transferee Company to consolidate its line of business activities and capital structure along with broad base their business activities under the roof of the Transferee Company. The said scheme will contribute in furthering and fulfilling the objects of the Company concerned and, in the growth, and development of these businesses. Accordingly, it would be in the best interests of the shareholders of the Transferor Companies and Transferee Company for the Transferor Companies to merge with the Transferee Company.

4. The Board of Directors of the Transferor Companies and Transferee Company have held their respective meeting held on 17th January, 2023, approved and resolved to carry out the Scheme.

5. It is stated in the Application that the assets of the Applicant Companies are sufficient to meet all their liabilities and the said Scheme will not adversely affect the rights of any of the creditors of any of the Applicant Companies in any manner whatsoever.

6. The valuation of the shares of the Applicant Companies, based on which the share entitlement ratio has been arrived at, dated 17th January 2023, has been carried out and approved by Mr. Mukesh Banka, IBBI Registered Valuer and stated to be bonafide and reasonable.

7. The statutory auditor of the Applicant Companies have, all by their certificate dated 18th January 2023, confirmed that the Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards as prescribed under Section 133 of the Companies Act , 2013 and Rules made there under.

8. It is stated in the Application that there will not be any reduction of capital of Transferee Company upon coming into effect of the Scheme, except cancellation of shares of Transferee Company due to inter/cross holding of shares resulting from this amalgamation. Further, the present scheme does not provide for corporate debt restructuring. The Applicant companies have never issued nor agreed to issue any debenture.

9. The Application states that the Applicant companies have made due provisions for payment of all liabilities as and when the same fell due.

10. There are no investigations or proceedings pending under Section 235 to 251 of the Companies Act, 1956 and/or applicable provisions of the Companies Act, 2013 against the Applicant Companies. No winding up petitions have been admitted or filed against Applicant Companies.

11. As stated in the Application, the Transferee Company has no Secured Creditors and 4 Unsecured Creditors amounting to Rs. 61,200 as on 31.12.2022 which the Applicants have paid off in the month of February, 2023. The Transferor Companies No. 1 and 2, DNB Finance and Investment Consultants and Jyoti Holdings neither has any Secured Creditor nor any Unsecured Creditor. Further, Transferor Company No. 3, Karishma Suppliers has no Secured Creditors and 2 Unsecured Creditors with

due amount Rs. 43,10,745 as on 31.12.2022 of which the Applicants, in their application state that 1 (one) out of the 2 (two) Unsecured Creditors aggregating to Rs. 40,15,500 representing 93.15% in value of the Unsecured Debts have given their affidavit of consent.

12. The Application states that 100% of the Equity Shareholders of all the Applicant Companies, 93.15% Unsecured Creditors of the Applicant Company No. 3 have given their consent to the Scheme in writing by way of affidavits for the approval of the proposed Scheme of Amalgamation.

13. Directions are sought accordingly for :

a) Dispensing with the convening and holding separate meetings of Equity Shareholders of the Transferee Company and the Transferor Companies;

b) Declaring that there is no requirement for holding of meeting of Secured Creditors of the Applicant Companies of the Scheme of Amalgamation;

c) Declaring that there is no requirement for holding of meeting of Unsecured Creditors of DNB Finance and Investment Consultants/ Transferor Company No.1;

d) Declaring that there is no requirement for holding of meeting of Unsecured Creditors of Jyoti Holdings/ Transferor Company No.2;

e) Declaring that there is no requirement for holding of meeting of Unsecured Creditors of the Karishma Suppliers/ Transferor Company No.3;

f) Dispensing with the meeting of Unsecured Creditors of CR Vanijya/ Transferee Company;

12. We have pursued the documents annexed to the Application and have heard the submissions made on behalf of the Applicants and pass the following orders:

12.1 In view of the facts mentioned above, convening and holding of Meetings of Equity Shareholders of the Applicant Companies are hereby dispensed with;

12.2 Meeting of Preference Shareholders of the Applicant No 1 for considering the Scheme are dispensed with;

12.3 Meeting of Preference Shareholders of the Applicant No 2 for considering the Scheme are dispensed with;

12.4 Meeting of Unsecured Creditors of the Applicant No 3 for considering the Scheme are dispensed with in view of consent by 93.15% in value of Unsecured Creditors of Applicant No 3 having respectively given their consent to the Scheme by way of affidavits;

12.5 No requirement of meeting of secured creditors of the Applicant Companies on account of there being none as is duly verified by auditor's certificate. No requirement of Meeting of Unsecured Creditors of Applicant No 1, Applicant No 2. No requirement of Meeting of Unsecured Creditors of Applicant No 4 as all Unsecured Creditors have been paid off prior to the filing of Company Application as duly verified by auditors certificate;

12.6 Let notice be served jointly by the Applicant Companies, as per the requirements of sub-section (5) of Section 230 of the Companies Act, 2013, along with the copy of the Scheme of Amalgamation and the statement disclosing necessary details, on the Central Government, through the Regional Director, North-Eastern Region, Ministry of Corporate Affairs, Guwahati; Registrar of Companies, North-Eastern Region, Guwahati, and the concerned Assessing Officer along with the Chief Commissioner of Income-Tax with PAN Number of the Applicant Companies through E-Mail and by Speed Post, both; as also on the Official Liquidator, High Court, Guwahati and the Reserve Bank of India, Guwahati; CCI, New Delhi and such other relevant sectoral regulators/authorities, if applicable, which are likely to be affected by the proposed Scheme, by sending the same by hand delivery through Special Messenger or by Registered Post or by Speed Post, by E-Mail, both, within two weeks from the date of this order for filing their representation, if any, on the Application within 30 days from the date of the said notice.

13. The Applicant Companies shall file an affidavit of service with the registry in regard to the directions given in this Order within 15 days from the date of making this order to report to this Tribunal that the directions regarding the issuance of notices have been duly complied with.

14. Leave is granted to the Applicants to file the Company Petition within 4 weeks from the date of making of this order.

15. The application being **Company Application CA (CAA) No. 1 / GB / 2023** is disposed of accordingly.

16. Urgent Certified copy of this order, if applied or, be supplied to the parties, subject to compliance with all requisite formalities.

Sd/-
Satya Ranjan Prasad
Member (Technical)

Sd/-
H. V. Subba Rao
Member (Judicial)

Signed this on 26th day of October, 2023